MODULE I: HUMAN RESOURCE PLANNING AND JOB ANALYSIS

3. Human Resource Planning: Meaning and Definition

Human Resource Planning (HRP) is the systematic process of determining the organisation's present and future human resource requirements and developing actions to ensure that the right number of people with the right skills are available at the right time and place.

HRP is sometimes called manpower planning or workforce planning. The term workforce planning is increasingly used because modern organisations need to plan not only headcount but also skills, capabilities, deployment, flexibility and future talent requirements.

Simple formula
HR Requirement = Number of people needed + Skills/competencies needed + Time + Location + Cost/contract conditions.

4. Why HRP is Important

• Supports business strategy: Expansion, diversification, digital transformation or restructuring changes the type and number of employees required.

• Avoids shortages: A shortage of skilled employees can delay production, reduce service quality and increase overtime or recruitment costs.

• Avoids surplus: Excess manpower can increase labour cost and reduce productivity.

• Improves recruitment: Recruitment becomes more targeted when future vacancies and skill requirements are known.

• Supports training: Skill gaps identified during planning can be addressed through training, redeployment or hiring.

• Supports succession planning: Organisations can identify critical positions and prepare internal talent for future roles.

• Controls cost: Workforce requirements can be compared with the organisation's financial capacity.

5. Objectives of HRP

1. To estimate future human resource requirements in terms of numbers and competencies.

2. To assess the present workforce and identify gaps.

3. To ensure the timely availability of employees.

4. To plan recruitment, selection, training, promotion, transfer and redeployment.

5. To reduce avoidable labour costs arising from shortages or surpluses.

6. To prepare for technological, economic and organisational changes.

7. To support continuity in key positions through succession planning.

6. Issues and Challenges in HRP

• Uncertain business environment: Demand for products and services may change quickly.

• Technology and automation: Some tasks may disappear while new digital and analytical skills become necessary.

• Changing employee expectations: Employees may value flexibility, development, meaningful work and work-life balance.

• Labour-market uncertainty: Availability and cost of skilled workers can vary across regions and occupations.

• Employee turnover: Unexpected resignations can disturb workforce plans.

• Data limitations: Inaccurate employee records or unreliable forecasts can produce poor decisions.

• Cost constraints: The organisation may know what talent it needs but may not have the budget to hire immediately.

• Skill obsolescence: Existing employees may have adequate qualifications but lack skills needed for future work.

7. HRP Process

1. Study organisational objectives and business plans.

2. Analyse the existing workforce: headcount, skills, age profile, experience, turnover and critical positions.

3. Forecast future demand for employees and skills.

4. Forecast future internal and external supply of labour.

5. Compare demand and supply and identify the gap.

6. Develop action plans such as recruitment, training, promotion, transfer, outsourcing, flexible staffing or redeployment.

7. Implement the plan.

8. Monitor results and revise the plan as conditions change.

Classroom Example
A retail chain plans to open 10 new stores. Each store needs 1 manager, 2 supervisors and 12 sales/service employees. HR cannot simply recruit 150 people immediately. It must consider existing employees who can be promoted, expected turnover, local labour supply, training time and the opening schedule. This is HRP in practice.

8. Human Resource Demand Forecasting

Demand forecasting estimates the number and type of employees the organisation will require in the future. Forecasts may be short-term or long-term and may be expressed as headcount, working hours, skills or competencies.

8.1 Managerial Judgement

Managers estimate future manpower requirements based on expected workload, business plans and experience. It is simple and useful in small organisations but may be subjective.

8.2 Ratio-Trend Analysis

Historical relationships between a business variable and employee numbers are used to estimate future requirements. Example: A company historically needs 1 sales employee for every 50 lakh of annual sales. If expected sales are 10 crore, a simple ratio estimate would be 20 sales employees.

8.3 Workload Analysis

Manpower requirements are estimated from the amount of work to be performed and the standard time required per unit of work. Example: If one employee can process 500 customer applications per month and expected applications are 5,000, the organisation needs about 10 employee-months of processing capacity, subject to leave, absenteeism and productivity adjustments.

8.4 Trend Analysis

Past employment trends are examined to identify a likely future pattern. It is easy to apply but becomes unreliable when the organisation or environment changes substantially.

8.5 Regression Analysis

A statistical relationship between employment and one or more business variables can be estimated. For example, employment may be related to sales revenue, production volume or number of customers. Regression can be more rigorous than simple judgement but requires suitable historical data and statistical competence.

8.6 Delphi Technique

A panel of experts independently gives forecasts. The responses are consolidated and shared for another round until a reasonable degree of consensus is reached. It can reduce the influence of one dominant person but takes time.

8.7 Scenario Analysis

HR prepares alternative workforce plans for different futures, such as high growth, moderate growth and recession. This is useful when uncertainty is high.

9. Human Resource Supply Forecasting

Supply forecasting estimates the availability of employees who can meet future requirements. Supply may come from internal sources or external sources.

Internal Supply	External Supply
Promotions	Fresh graduates and job seekers
Transfers	Experienced employees from other organisations
Succession candidates	Professional/technical talent in the labour market
Existing employees acquiring new skills	Employment exchanges, agencies and digital platforms
Redeployment after restructuring	Campus recruitment and professional networks

10. Gap Analysis

The HR gap is identified by comparing expected demand with expected supply.

Situation	Meaning	Possible HR Action
Demand > Supply	Shortage of employees/skills	Recruit, train, promote, retain, outsource or use flexible staffing

Situation	Meaning	Possible HR Action
Demand < Supply	Surplus of employees/skills	Redeploy, reskill, reduce overtime, natural attrition or other lawful workforce adjustments
Demand = Supply	Approximate balance	Monitor and maintain readiness

Exam point

HRP is not a one-time exercise. It is a continuing and flexible process because organisational objectives, technology, labour supply and employee behaviour change over time.

11. Illustrative Case Study: The Expanding Food-Delivery Company

Situation: A regional food-delivery company has 80 customer-support employees. It expects orders and customer queries to increase by 30% over the next year because it plans to enter two new cities. At the same time, about 10% of support employees leave each year.

Questions: (1) What information should HR collect before forecasting demand? (2) Which demand forecasting method would be useful? (3) What internal supply factors should be examined? (4) Should the company recruit immediately or combine recruitment with training and technology?

Learning: HRP links business expansion, workload, turnover, productivity, technology and recruitment rather than treating recruitment as an isolated activity.

12. Job Analysis: Meaning

Job analysis is the systematic process of collecting and analysing information about a job—its duties, responsibilities, tasks, working conditions, required knowledge, skills, abilities and other characteristics.

Job analysis answers the question: “What does the job require?” This information becomes the foundation for recruitment, selection, training, performance appraisal, compensation and job design.

13. Steps in Job Analysis

1. Identify the purpose and jobs to be analysed.

2. Review existing organisational information such as organisation charts and previous job descriptions.